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RESEARCH & INSIGHTS HUB

The Bitcoin Ecosystem

The path to unlocking new forms of economic value on the Bitcoin network

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Historically, the primary use case for BTC has been as a store-of-value due to its unique role in the crypto asset class as well as its limitations – both programmatically and functionally. Indeed, smart contract platforms like Ethereum and Solana stepped in primarily to enable the more complex computations on blockchains that Bitcoin couldn't. But a host of new Bitcoin infrastructure including layer-2s, bridges, virtual machines (VM), wallets and staking protocols is forming a new Bitcoin ecosystem.

The value proposition is simple – BTC is the most popularly held cryptocurrency in the asset class, as reflected by a 57% dominance ($1.2T) of the total crypto market cap. Consequently, there's plenty of appetite from BTC owners looking to do more with their BTC other than just holding it. Moreover, these developments may be necessary to generate the fees that help incentivize miners over the long run, as their rewards continue to be halved every 210k blocks. The concern, however, is that all of this may radically change the complexion of the network by adding complexity and risk to the ecosystem, while potentially contravening Bitcoin's core ethos.

For now, we do not expect these developments to become idiosyncratic drivers of BTC performance in the short term. This distinguishes BTC somewhat from ETH where the advent of L2s have led many market players to treat (some) L2 tokens as higher beta proxies for ETH. Comparatively, we think the work happening on Bitcoin L2s will be captured as its own (independent) trading narrative for the time being, while BTC value will be anchored to the fundamental activity happening on the base layer.

For more details, see our full report.

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